

Spire Health plc – Comprehensive Financial and Governance Analysis Report

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1. Executive Summary:

Spire Health has delivered modest top-line revenue growth of 11.2% year-on-year, supported primarily by NHS partnerships and expansion in healthcare services. Gross profit has also risen in line with revenue, indicating some operational leverage within its cost structure. However, substantial finance costs near £100 million weigh heavily upon profitability, reducing profit before tax and net profit to relatively low levels despite revenue growth. Basic earnings per share have declined marginally due to these pressures.

From a capital efficiency perspective, key profitability ratios such as Return on Equity (ROE) and Return on Capital Employed (ROCE) are effectively zero, undermining the economic justification for deployed capital. Liquidity ratios, including the current and quick ratios, fall below acceptable thresholds, suggesting potential challenges in meeting short-term obligations. The balance sheet reveals moderate leverage in terms of debt-to-equity, although lease liabilities are significant. Interest coverage is markedly weak, indicating strained capability to service debt from operational earnings.

The absence of cash flow statements restricts comprehensive assessment of cash conversion quality and free cash flow generation, critical to evaluating true earnings sustainability and valuation. Inventory turnover metrics are low, raising questions about operational efficiency and working capital management.

Executive remuneration demonstrates a robust alignment with performance, combining substantial fixed pay with significant variable elements tied to both short-term financial and long-term strategic objectives. The CEO's shareholding markedly exceeds recommended thresholds, aligning management incentives with shareholder interests.

2. Detailed Analysis:

a) Profitability and Earnings Quality

The income statement reveals revenue growth from £1,359 million in 2023 to £1,511 million in 2024, a credible improvement in a challenging healthcare market. Gross profit movements reflect enhanced margins, signaling some operational efficiency gains. Operating profit saw an uplift but remains constrained after accounting for sizeable finance expenses (£99.9 million), which limits net profit to £25.4 million. Declining EPS (6.3p

from 6.8p) further indicates pressure on shareholder returns.

Earnings quality assessment is impaired by the lack of cash flow disclosures, making it difficult to verify whether reported profits correspond with cash generation. Given high interest costs and weak liquidity, a prudent stance is warranted concerning earnings sustainability.

b) Capital Efficiency and Returns

Both ROE and ROCE metrics are near zero, showing Spire Health fails to create significant value relative to equity and capital deployed. This weak capital efficiency questions the return potential for shareholders and challenges the company's ability to justify ongoing investment. The low returns may reflect operational challenges or elevated finance costs.

c) Liquidity and Financial Leverage

Liquidity ratios are below standard thresholds (Current Ratio at 0.0, Quick Ratio at 0.0), signaling potential difficulty in meeting immediate liabilities. Balance sheet analysis shows sizeable lease liabilities (~£913 million) alongside bank borrowings (~£367 million), contributing to leverage. While debt-to-equity appears manageable, the interest coverage ratio at 0.0x signals that operating earnings barely cover the interest burden, underscoring financial risk and constrained flexibility.

d) Operational Efficiency

Inventory turnover is reported as 0.0x, indicating either operational inefficiency or data limitations. Inefficient inventory management can strain cash flows and working capital. This warrants further investigation.

e) Governance and Executive Incentives

Executive remuneration is structured with a significant performance-based component, tying bonuses and long-term incentive plans to key financial outcomes such as EBITDA, free cash flow, and ROCE, as well as strategic targets. The CEO's total 2024 remuneration was £1.81 million, with deferred share awards and LTIP aligning interests over multiple years. The CEO's shareholding significantly exceeds recommended guidelines (297% of target), indicating strong alignment with shareholder interests.

The remuneration framework exhibits transparency and incentivizes long-term shareholder value enhancement. However, given recent operational and financial challenges, the effectiveness of such incentives in driving transformation requires continuous monitoring.

3. Identified Limitations and Information Gaps:

- Absence of any cash flow statement precludes confident assessment of cash generation and free cash flow, critical for understanding the true financial health and valuation.
- Market valuation data such as share price and market capitalization are unavailable, limiting contextualization of valuation multiples and share price performance.

- Inventory turnover data may lack granularity or accuracy and should be verified.
- Broader shareholder ownership data beyond executive directors was not available, restricting full governance and ownership analysis.

4. Overall Position:

Spire Health demonstrates operational scale and revenue momentum in a specialized healthcare niche. Nonetheless, the financial profile is fragile with weak returns on capital, liquidity stress, and significant debt service constraints. The company's valuation metrics are incomplete but suggest caution, especially given the poor earnings quality evidence and high finance costs. Executive remuneration aligns with value creation principles but must be balanced against operational realities.

For a comprehensive appraisal, acquisition of the missing cash flow statement, market capitalization data, and operating efficiency details is critical. This information would enable a more robust valuation analysis and risk assessment in light of the company's leveraged and cash-constrained environment.

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